

Calendar Line 6

Case Name: *Arlen F. Alcantar, et al. v. Kidango, Inc., et al.*

Case No.: 23CV424964

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Arlen Alcantar and David Chiang (collectively, “Plaintiffs”) allege that defendant Kidango, Inc. committed various wage and hour violations.

Before the Court is Plaintiffs’ motion for final approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

V. BACKGROUND

According to the allegations of the operative second amended complaint (“SAC”), Defendant failed to: timely pay wages, pay overtime wages, provide compliant meal and rest periods or compensation in lieu thereof; and maintain timekeeping records.

Based on the foregoing, Plaintiff Alcantar initiated this action on October 30, 2023, with the filing of the complaint and on January 4, 2024, she filed her first amended complaint. On March 21, 2025, Plaintiffs filed the operative SAC, which asserts the following claims: (1) failure to pay minimum wages; (2) failure to pay wages and overtime (Lab. Code § 510); (3) meal period liability (Lab. Code §§ 226.7 & 512); (4) rest break liability (Lab. Code § 226.7 & 512); (5) violation of Labor Code § 226; (6) violation of Labor Code § 221; (7) violation of Labor Code § 204; (8) violation of Labor Code §§ 201-203; (9) failure to maintain records (Lab. Code §§ 1174, & 1174.50); (10) failure to produce requested records (Lab. Code §§ 226 & 198); (11) failure to reimburse necessary business expenses (Lab. Code § 2802); (12) violation of Business & Professions Code § 17200, *et seq.*; (13) civil penalties under the PAGA (Lab. Code § 2698 *et seq.*; and (14) failure to pay sick wages (Lab. Code §§ 201-203, 210, 233, 246). On September 8, 2025, the Court issued its order which granted Plaintiffs’ motion for preliminary approval of class and PAGA settlement.

Plaintiffs now seek an order: certifying the class (“Class”) for settlement purposes; confirming Plaintiffs as Class representatives; approving the settlement; confirming appointment of Class counsel; approving Class Representative payments to Plaintiffs; approving attorneys’ fees and costs; and entering judgment.

VI. MOTION FOR FINAL APPROVAL

C. Legal Standard

j. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235)

(*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement. (*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

D. PAGA

Labor Code section 2699, subdivision (l)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

D. Settlement Class

Plaintiffs request that the following Class be certified for settlement purposes.

All individuals employed as non-exempt, hourly employees by Kidango, Inc. within the State of California during the Class Period [October 30, 2019 through November 30, 2024].¹

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described class, determining that Plaintiffs demonstrated by a preponderance of the evidence (1) an

¹ The escalator clause was triggered, thus, in order to avoid exceeding the 111,038 workweeks threshold, Defendant elected to end the Class Period on November 30, 2024, pursuant to Paragraph 8 of the Settlement Agreement—resulting in 111,004 total workweeks. (Motion, p. 1, fn. 1.)

ascertainable class, (2) a well-defined community of interest among the class members and (3) that a class action provides substantial benefits to both litigants and the Court. Consequently, the Court will certify the Class for settlement purposes as requested.

E. Terms and Administration of Settlement

The non-reversionary gross settlement amount is \$1,990,000. Attorneys' fees up to one-third of the gross settlement amount, which is approximately \$663,333.33; litigation costs of up to \$45,000.00; and administrative costs of up to \$14,500.00. \$70,000.00 will be allocated to PAGA penalties, 75% of which (\$52,500.00) will be paid to the LWDA, with the remaining 25% (\$17,500.00) will be dispensed, on a pro rata basis, to "Aggrieved Employees" who are defined as "all individuals employed as non-exempt, hourly employees by Defendant within the State of California during the PAGA Period."² Plaintiffs will seek Class representative payments of \$10,000.00 each—totaling \$20,000.00.

Class Counsel fails to provide a net settlement amount but based on the information provided, the Court estimates the net settlement amount to be \$1,177,166.67, which will be allocated to Class members. For tax purposes, 20% of each Class member's individual payment will be allocated to wages and 80% will be allocated to interest and penalties. Funds associated with checks uncashed after 180 days will be transmitted to the Controller of the State of California to be held in trust for such Class members pursuant to California unclaimed property law. Plaintiffs will seek Class representative awards of \$10,000 each—totaling \$20,000.

In exchange for settlement, Class Members who do not opt out will release:

All claims, rights, demands, liabilities, and causes of action that are alleged, or reasonably could have been alleged based on the facts asserted in the Operative Complaint that occurred during the Class Period, including the following claims: (1) Failure to Pay Minimum Wages; (2) Failure to Pay Wages and Overtime Under Labor Code§ 510; (3) Meal Period Liability Labor Code § 226.7; (4) Rest-Break Liability Labor Code§ 226.7; (5) Violation of Labor Code§ 226; (6) Violation of Labor Code§ 221; (7) Violation of Labor Code§ 204; (8) Violation of Labor Code§ 203; (9) Failure to Maintain Records Required under Labor Code §§ 1174, 1174.5; (10) Failure to Produce Requested Records under §§ 226 and 1198; (11) Failure to Reimburse Necessary Business Expenses under Labor Code§ 2802; (12) Violation of Business & Professions Code§ 17200, *et seq.*; (13) claims under Labor Code Section 246 *et seq.* and related laws for Paid Sick Leave violations; and (14) all claims under the Wage Orders, including suitable seating claims.³

²The "PAGA Period" is defined as "the period from October 30, 2022, and continuing through the date of preliminary approval.

³ The release expressly excludes all other claims, including claims for vested benefits, wrongful termination, violation of the Fair Employment and Housing Act, retaliation, discrimination, unemployment insurance, disability, social security, workers compensation, and Class claims outside of the Class Period.

Aggrieved Employees, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

All claims for the recovery for civil penalties, attorneys' fees and costs permissible under PAGA which Plaintiffs and/or the Aggrieved Employees had, or may claim to have, against Released Parties, which were alleged or were based on the facts in the Operative Complaint and/or the PAGA Notices submitted in connection with the Alcantar and Chiang Actions, including failure to pay overtime compensation, failure to pay minimum wages, failure to provide compliant meal and rest breaks, failure to pay meal and rest period premiums, failure to pay all wages owed at discharge or resignation; failure to timely pay wages during employment; failure to provide complete and accurate wage statements; failure to keep complete and accurate payroll records; failure to provide one day's rest from seven; failure to reimburse necessary business-related expenses; failure to provide suitable seating, and violations of Labor Code sections 201, 202, 203, 204, 221, 226(a), 226.3, 226.7, 246, *et seq.*, 510,512(a), 1174(d), 1194, 1197, 1197.1, 1198, 2698, *et seq.*⁴

The notice period has now been completed. Stacey Shim ("Shim"), a case manager for settlement administrator Apex, submitted a declaration in support of the instant motion. Shim states that on September 10, 2025, Apex received the notice packet from Class Counsel and on November 10, 2025, defense counsel provided the Class data file including the names, last known mailing addresses, and social security numbers of the Class Members and/or Aggrieved Employees.

The names and addresses were verified and updated against the National Change of Address Database. On November 26, 2025, the notice packets were sent to 1,042 Class Members. As of the date of Shim's declaration, 21 class notices have been returned as undeliverable. Apex was able to locate 18 updated addresses and the Class notices were promptly re-mailed. Thus, 3 notices were undeliverable.

The deadline to respond was January 26, 2026, and as of the date of Shim's declaration, Apex received one (1) request for exclusion, zero (0) objections, and zero (0) workweek disputes. To avoid exceeding 111,038 workweeks, Defendant established the end of the Class Period as November 30, 2024, pursuant to the settlement agreement. The total number of workweeks worked by participating Class members during the Class Period is 111,004. The PAGA period end date remains September 5, 2025. As a result of the Class Period ending before the PAGA Period, 95 individuals out of the 1,042 individuals were hired after the end of the Class Period which renders them ineligible to receive an Individual Class Payment. Thus, there are 947 Class Members. Consequently, there are 946 participating Class Members. The average individual payment will be \$1,201,510.10, the highest payment will be \$2,894.03 and the lowest will be \$32.52. The average PAGA payment will be \$21.29, the highest will be \$35.72, and the lowest will be \$0.51.

⁴This release expressly excludes other PAGA claims, claims for vested benefits, wrongful termination, discrimination, unemployment insurance, disability, social security, and worker's compensation, and PAGA claims outside of the PAGA Period.

The settlement provides for administration costs for up to \$14,500. Shim's declaration supports costs to Apex in the amount of \$14,500. This amount is reasonable and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs' claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the settlement is fair and reasonable for the purposes of final approval.

F. Attorneys' Fees, Litigation Costs, and Plaintiffs' Service Award

Class Counsel seeks a fee award of \$663,333.33, or one-third of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Class Counsel provide a lodestar figure of 256,979.00 based on 348.9 hours of work at billing rates ranging from \$475 to \$1,260, resulting in a multiplier of 2.58. This is within the range of multipliers that courts typically approve. (See *Wershba, supra*, 91 Cal.App.4th at p. 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range"].)

"While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation." (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee. Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions. (*Laffitte, supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About "Reasonable Percentage" Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, "[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment." (*Laffitte, supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Class Counsel is within the range of modifiers typically approved by courts, is supported by the percentage cross-check as well as the declarations submitted by Class Counsel Enoch J. Kim and Kyle Nordrehaug. Thus, the Court finds Class Counsel's requested fee award is reasonable.

Class Counsel also seek \$20,656.57 in litigation costs, which is lower than the \$45,000 allowed for in the Settlement. The request is supported by Class Counsel's declarations. This amount is reasonable and thus, it is approved.

Plaintiffs request a service payment award of \$10,000 each-totaling \$20,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

At the preliminary approval, the Court preliminarily approved Plaintiffs' requests for service awards. Having review Plaintiffs' declaration, the Court does not find any reason to depart from that finding. Thus, Plaintiffs' request for service awards in the amount of \$10,000-totaling \$20,000 is approved.

VII. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiffs' motion for final approval is GRANTED. The following Class is certified for settlement purposes only:

All individuals employed as non-exempt, hourly employees by Kidango, Inc. within the State of California during the Class Period.

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiffs and the members of the Class will take from the SAC only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **November 5, 2026 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying

distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

The Court will prepare the order.

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Case Name: *Section 52 Fund 5, LP v. IronArc Opportunities XV, LP*

Case No.: 25CV470496

This action arises from an alleged breach of contract regarding a transaction for purchase of stocks.

Before the Court is defendant IronArc Opportunities XV, LP's ("IronArc")'s demurrer; its motion for sanctions under Code of Civil Procedure Section 128.5 ("Section 128.5"); and motion for sanctions under Code of Civil Procedure 128.7 ("Section 128.7"), all of the motions are opposed.

As discussed below, the Court SUSTAINS Defendant's demurrer with 20 days' leave to amend; DENIES its motion for sanctions under Section 128.5; and GRANTS its motion for sanctions under Section 128.7.

VIII. BACKGROUND

According to the allegations of the Complaint, on May 28, 2025, IronArc and plaintiff Section 52 Fund 5 executed a Stock Transfer Notice and Agreement (the "Agreement"). (Complaint, ¶ 12.) In the Agreement, Plaintiff agreed to sell 334,058 shares of Scale AI, Inc. ("Scale AI") and Defendant agreed to buy the shares. (Complaint, ¶ 13.) The shares were comprised of 319,380 shares of Scale AI Series C Preferred Stock, 12,564 shares of Scale AI Series D Preferred Stock, and 2,114 shares of Scale AI Series E Preferred Stock. (*Ibid.*) The sale price was \$26.32 per share—totaling \$8,795,546.71. (Complaint, ¶ 14.) The Agreement is on a form used by the National Association of Securities Dealer Automated Quotations ("Nasdaq") private market to facilitate the transfer of private company stock among sophisticated parties. (Complaint, ¶ 15.) The parties agreed that any proposed transfer would be subject to any right of first refusal ("ROFR") applicable to the shares. (Complaint, ¶¶ 16-17.) The Agreement further provided that if Scale AI did not approve the transaction within 30 days of the agreement and the failure was not "due to any material action or inaction" by Plaintiff or Defendant then "either party may terminate" the Agreement by written notice. (Complaint, ¶ 18.)

Under the Agreement, in the event Scale AI approved the transfer or did not exercise a right of first refusal, the parties agreed to "enter into [Scale AI's] form of stock purchase and/or transfer agreement..." (Complaint, ¶ 19.) It is undisputed that Scale AI's does not have a right of first refusal over the shares at issue. (Complaint, ¶ 20.)

As a sophisticated investor, Defendant could have bargained for a clause allowing it to terminate or modify the Agreement due to what could be considered a material adverse change in circumstances or a change in the classification of the stock it was going to purchase, and it did not do so. (Complaint, ¶ 21.) After the Agreement was executed, Scale AI received a major investment from a third party, which was predicated upon the reclassification of preferred stock to common stock. (Complaint, ¶ 22.)